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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

COMMERCE **7100/01**

Paper 1 Multiple Choice **October/November 2009**

1 hour

Additional Materials: Multiple Choice Answer Sheet

Additional Materials (**not** provided by CIE): Soft clean eraser
Soft pencil (type B or HB is recommended)
Ruler
Protractor

* 4 8 6 9 8 8 7 9 6 1 *

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.
The businesses described in this question paper are entirely fictitious.

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What is the purpose of the label?

A to assist with packaging the product

B to enable the price to be changed electronically

C to make the product recognisable to customers

D to provide details about the product

6 What advantage does Coolsounds Ltd have from selling its CDs and DVDs over the Internet?

A It avoids the high costs of e-commerce.

B It does not need a website to advertise its products.

C It gains access to a global market for music.

D It has reduced the need to transport its products.

7 Ahmed has seen an advertisement for a computer. It includes the words 'credit terms available' after the price shown.

Which statement explains why he is interested in buying the computer shown in the advertisement?

A Cash vouchers will be offered to him.

B His money will be refunded if he finds he cannot use the computer.

C Payment for the computer can be spread over time.

D The price will be reduced if he pays when he buys the computer.

8 Why might a consumer organisation advertise?

A to improve consumer awareness

B to inform consumers of new products

C to persuade consumers to buy

D to remind consumers of existing products

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A

Everyone needs this card!

B

Exclusively for you!

C

Low interest rates will save you money!

D

Your children's future depends on you!

20 Communications play an important part when trade takes place within the global economy.

Which reason best explains the above statement?

A Communications support all commercial transactions within a country.

B Communications link traders in all parts of the world.

C Different currencies are required for overseas trade.

D Fax and email can be used to communicate written messages.

21 Which telecommunication service allows discussion between people in different places at the same time?

A e-mail

B fax

C paging

D videoconferencing

22 Which postal service would a large business organisation use to send monthly statements or accounts to its customers?

A business reply

B express mail

C letter post

D registered mail

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What is most likely to be transported by this method?

A food

B fruit

C machinery

D sand

24 Consignment notes are used when delivering goods by

A container ships.

B independent transport firms.

C manufacturer's own trucks.

D pipelines.

25 What is required for the good running of a warehouse?

A cash and carry on all sales

B efficient distribution of goods

C refrigeration for all foods

D manufacturing facilities for goods

26 Which statement describes a cash and carry warehouse?

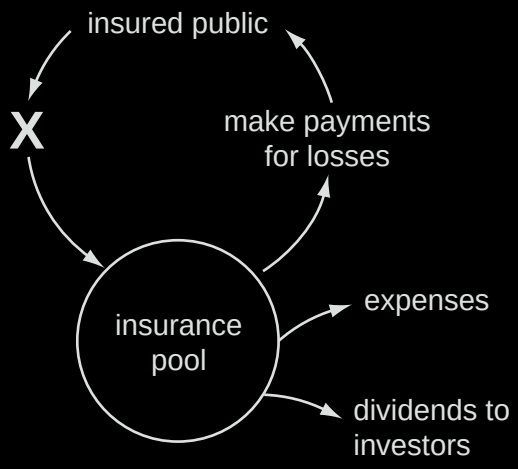
A located close to ports and airports

B sells goods on credit

C specialises in one type of goods

D wholesale supermarket

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What is the missing statement marked **X**?

A invest funds

B make claims

C pay premiums

D receive policies

29 The 'insured' is the name given to the

A insurance company offering insurance.

B payment made for insurance.

C person who is covered by insurance.

D property that is covered by insurance.

30 Which statement is true of a bank current account?

A It allows withdrawal by cheque.

B It gives the account-holder a high interest rate.

C It is used as a means of long-term saving.

D It requires a week's notice before withdrawal.

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